# 26CMCV00352 26CMCV00352

County: los-angeles

Division: Civil Law and Motion

Department: E

Hearing date: 2026-07-21

Motion: MOTION TO COMPEL ARBITRATION DATE: July 21, 2026 TIME: 8:30 A.M.

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Case Number: 26CMCV00352 Hearing Date: July 21, 2026 Dept: E

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES – SOUTH CENTRAL
DISTRICT

ALBERTO
B. MARAVILLA BAROCIO, an individual,

Plaintiff,

vs.

HYUNDAI MOTOR AMERICA, a
California Corporation, and DOES 1 through 10, inclusive,

Defendants.

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CASE
NO: 26CMCV00352

[TENTATIVE] ORDER RE: MOTION TO COMPEL
ARBITRATION

DATE: July 21, 2026

TIME: 8:30 A.M.

DEPT.: E

Moving Party: Defendant
Hyundai Motor America

Responding Party: Plaintiff
Alberto B. Maravilla Barocio

Notice: Ok

Tentative Ruling: Defendant's
Motion to Compel Arbitration is GRANTED.

I.
BACKGROUND

This is a Song-Beverly action arising from the purchase of an allegedly defective 2023 Hyundai Santa Fe (the "Subject Vehicle"). Plaintiff Alberto B. Maravilla Barocio alleges that, on December 30, 2023, he purchased the Subject Vehicle which was warranted by

Defendant Hyundai Motor America ("Hyundai"). Plaintiff further alleges that the Subject Vehicle was delivered with serious defects and nonconformities to warranty which Hyundai or its authorized repair facilities were not able to conform to warranty after a reasonable number of attempts.

On February 20, 2026, Plaintiff filed his operative Complaint against Hyundai and Does 1 through 10, inclusive, alleging causes of action for: (1) Violation of Song-Beverly Act – Breach of Express Warranty, (2) Violation of Song-Beverly Act – Breach of Implied Warranty, and (3) Violation of the Song-Beverly Act Section 1793.2.

On April 3, 2026, Hyundai filed the instant Motion to Compel Arbitration.

On July 9, 2026, Plaintiff filed his Opposition.

On July 14, 2026, Hyundai filed its Reply.

## II. ANALYSIS

### A. Legal Standard

Whether the Federal Arbitration Act (the "FAA") or the California Arbitration Act (the "CAA") applies, courts "apply general California contract law to determine whether the parties formed a valid agreement to arbitrate their dispute." (Avery v. Integrated Healthcare Holdings, Inc. (2013) 218 Cal.App.4th 50, 59-60.) "General contract law principles include that the basic goal of contract interpretation is to give effect to the parties' mutual intent at the time of contracting. The words of a contract are to be understood in their ordinary and popular sense." Furthermore, the whole of a contract is to be taken together, so as to give effect to every part, if reasonably practicable, each clause helping to interpret the other." (Franco v. Greystone Ridge Condominium (2019) 39

Cal.App.5th 221, 227 (cleaned up, internal citations and quotations omitted).)

California law reflects a strong public policy favoring arbitration and the fundamental principle that arbitration is a matter of contract. (See AT&T Mobility LLC v. Concepcion¿(2011) 563 U.S. 333, 339 (“Concepcion”); Moncharsh¿v.¿Heily¿&¿Blase¿(1992) 3 Cal.4th 1, 8-9 (“Moncharsh”).) ¿“To further that policy, Code of Civil Procedure, section 1281.2 requires a trial court to enforce a written arbitration agreement unless one of three limited exceptions¿applies. Those statutory exceptions arise where (1) a party waives the right to arbitration; (2) grounds exist for revoking the arbitration agreement; and (3) pending litigation with a third party creates the possibility of conflicting rulings on common factual or legal issues.” (Acquire II, Ltd. v. Colton Real Estate Group¿(2013) 213 Cal.App.4th 959, 967 (“Acquire II”)(internal citation omitted).) “[U]nder¿[] California law, ‘arbitration agreements are valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.’”¿(Higgins v. Superior Court¿(2006) 140 Cal.App.4th 1238, 1247; Quach v. California Commerce Club, Inc., (2024) 16 Cal.5th 562, 569 (“Quach”); Morgan v. Sundance (2024) 596 U.S. 411, 419 (“Morgan”).)

A party to an arbitration agreement may summarily move or petition the Court for an order compelling another non-compliant party to arbitrate their covered claims. (See Code Civ. Proc. §§ 1281.2, 1290.2.) A motion to compel arbitration must “alleg[e] the existence of a written agreement to arbitrate a controversy.” (Code Civ. Proc. § 1281(a).) It must state the provisions of the written agreement and the paragraph that provides for arbitration either verbatim or by copy of the agreement attached to the petition. (Cal. R. Ct., Rule 3.1330.) When a petition to compel arbitration is filed and accompanied by prima facie evidence of a written agreement to arbitrate the controversy, the court must determine whether the agreement exists and, if any defense to its enforcement is raised, whether it is enforceable. The petitioner bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, and the opposing party bears the burden of proving any fact necessary to its defense by the same evidentiary standard.¿(Ramirez v. Golden Queen Mining Co., LLC (2024) 102 Cal.App.5th 821, 829-830.)

Finally, “[i]f a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies." (Code Civ. Proc. § 1281.4.)

B.
Request for
Judicial Notice ("RJN")

1.
Hyundai's
Requests for Judicial Notice ("HRJN")

Pursuant to Evidence Code § 452(d), Hyundai requests the Court take judicial notice of (1) Plaintiffs' Complaint in this action (HRJN, Exh. 4).[1]

The Court may take judicial notice of "[r]ecords of (1) any court of this state or (2) any court of record of the United States or of any state of the United States." (Evid. Code §452(d).) Further, Evidence Code § 452(h) permits a court to take judicial notice of "[f]acts and propositions that are not reasonable subject to dispute and are capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy." (Evid. Code § 452(h).)

Although Hyundai's request that the Court take judicial notice of the Complaint in this matter is not entirely necessary given that the Court is permitted to, and does, review the records of this matter in its evaluation of Hyundai's motion, Hyundai's RJN, Exh. 4 is a document of which the Court is permitted to take judicial notice pursuant to Evidence Code § 452(d). The Court therefore GRANTS Hyundai's Request for Judicial Notice.

2.
Plaintiff's Requests
for Judicial Notice ("PRJN")

Pursuant to Evidence Code §452 and

§453 and Rules of Court Rule 3.1306 (c), Plaintiff requests the Court take judicial notice of:

(1)
40 Fed. Reg. 60168 - 60211 (Dec. 31, 1975) (PRJN, Atchmt. 1);

(2)
64 Fed. Reg. 19700 - 19709 (Apr. 22, 1999) (PRJN, Atchmt. 2);

(3)
H.R. Rep. No. 93–1107 (1974) (PRJN, Atchmt. 3); ;

(4)
Subcommittee Staff Report, 120 Cong. Rec. 31,318 (1974) (PRJN, Atchmt. 4); and

(5)
Final Action Concerning Review of Interpretations of Magnuson-Moss Warranty Act; Rule Governing Disclosure of Written Consumer Product Warranty Terms and Conditions; Rule Governing Pre-Sale Availability of Written Warranty Terms; Rule Governing Informal Dispute Settlement Procedures; and Guides for the Advertising of Warranties and Guarantees, 80 Fed. Reg. 42710-01 (July 20, 2015) (PRJN, Atchmt. 5).

The
Court may take judicial notice of “[t]he decisional, constitutional, and statutory law of any state of the United States and the resolutions and private acts of the Congress of the United States and of the Legislature of this state. (Evid. Code §452(a).) Further, Evidence Code §452(b) permits a Court take judicial notice of “[r]egulations and legislative enactments issued by or under the authority of the United States or any public entity in the United States.” (Evid. Code §452(b).) Although each of the documents of which Plaintiff request the Court take judicial notice is a document for which judicial notice is permitted, the Court does not find congressional records and federal rules and regulations regarding the Magnus-Moss Warranty Act particularly relevant in an action that does not involve the Magnus-Moss Warranty Act. The Court is not required to take judicial notice of irrelevant documents. (Soukoup v. Law Offices of Herbert Hafif (2006) 39 Cal.4th 260, 295, fn. 9; see also Town of Atherton v. California High-Speed Rail Authority (2014) 228 Cal.App.4th 314, 341).)

Plaintiff’s

Request for Judicial Notice is DENIED.

C.
Evidentiary
Objections

Plaintiff asserts evidentiary objections to the declaration submitted in support of Hyundai's motion.[2] As to each of Plaintiff's objections, the Court rules as follows:

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Objection No. 1:
Declaration of Ali Ameripour ("Ameripour Declaration") ¶ 3 –SUSTAINED (Foundation, Lack of Personal Knowledge)

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Objection No.
2: Ameripour Declaration ¶ 4 Exh. 3 – SUSTAINED (Foundation)

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Objection No. 3:
Declaration of Vijay Rao ¶ 5 ("Rao Declaration") – SUSTAINED (Foundation, Lack of Personal Knowledge)

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Objection No.
4: Rao Declaration ¶ 6, Exh. 2 – OVERRULED

D.
The
Arbitration Agreement in the New Vehicle Limited Warranty ("NVLW")

1.
Existence of
the Agreement

In ruling on a motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law help guide the court's determination. (Mendez

v. Mid-Wilshire Health Care Center (2013) 220 Cal.App.4th 534, 541.)

Courts apply a three-step burden-shifting process to determine whether an agreement to arbitrate exists. (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 164 (“Gamboa”).) “First, the moving party bears the burden of producing ‘prima facie evidence of a written agreement to arbitrate the controversy.’” (Id. at p. 165 (quoting Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 413).) The moving party can meet this initial burden by attaching a copy of the arbitration agreement purporting to bear the opposing party’s signature or setting forth the agreement’s provisions in the motion. (Gamboa, supra, at p. 165; Baker v. Italian Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160 (“Baker”); Espejo v. Southern California Permanente Medical Group (2016) 246 Cal.App.4th 1047, 1060 (“Espejo”).)

For the purposes of this initial burden, “it is not necessary to follow the normal procedures of document authentication.” (Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 218 (“Condee”); Gamboa, supra, 72 Cal.App.5th at p. 165.) Rule of Court 3.1330 provides that a motion or petition to compel arbitration pursuant to Code Civ. Proc. §§ 1281.2 and 1281.4, “must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration.” (Ibid.) “The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference.” (Id.)

“If the movant bears its initial burden, the burden shifts to the party opposing arbitration to identify a factual dispute as to the agreement’s existence—in this instance, by disputing the authenticity of their signatures. To bear this burden, the arbitration opponent must offer admissible evidence creating a factual dispute as to the authenticity of their signatures. The opponent need not prove that his or her purported signature is not authentic, but must submit sufficient evidence to create a factual dispute and shift the burden back to the arbitration proponent, who retains the ultimate burden of proving, by a preponderance of the evidence, the authenticity of the signature.” (Iyere v. Wise Auto Group (2023) 87 Cal.App.5th 747, 755 9 (“Iyere”).)

Hyundai seeks to compel binding arbitration pursuant to the arbitration agreement contained in the NVLW allegedly provided to Plaintiff upon his purchase of the Subject Vehicle, which provides in pertinent part as follows:

BINDING ARBITRATION FOR CALIFORNIA VEHICLES ONLY

PLEASE READ THIS SECTION IN ITS ENTIRETY AS IT AFFECTS YOUR RIGHTS THIS SECTION DOES NOT PRECLUDE YOU FROM FIRST PURSUING ALTERNATIVE DISPUTE RESOLUTION THROUGH BBB AUTO LINE AS DESCRIBED IN THE "ALTERNATIVE DISPUTE RESOLUTION" PROVISION IN SECTION 3 OF THIS HANDBOOK.

If you purchased or leased your Hyundai vehicle in the State of California, you and we, Hyundai Motor America, each agree that any claim or disputes between us (including between you and any of our affiliated companies) related to or arising out of your vehicle purchase, advertising for the vehicle, use of your vehicle, the performance of the vehicle, any service relating to the vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty, including without limitation claims related to false or misleading advertising, unfair competition, breach of contract or warranty, the failure to conform a vehicle to warranty, failure to repurchase or replace your vehicle, or claims for a refund or partial refund of your vehicle's purchase price (excluding personal injury claims), but excluding claims brought under the Magnuson-Moss Warranty Act, shall be resolved by binding arbitration at either your or our election, even if the claim is initially filed in a court of law. If either you or we elect to resolve our dispute via arbitration (as opposed to in a court of law), such binding arbitration shall be administered by and through the American Arbitration Association (AAA) under its Consumer Arbitration Rules.

We will pay all fees for any arbitration except for the initial filing fee of $200. The arbitration will be held in the city or county of your residence. To learn more about arbitration, including the applicable rules and how to commence arbitration, please contact:

AAA at www.adr.org; 800-778-7879.

This

agreement to arbitrate is intended to be broadly interpreted and to make all disputes and claims between us (including our affiliated companies) relating to or arising out of your vehicle purchase, use or performance of your vehicle, or the vehicle warranty subject to arbitration to the maximum extent permitted by law. The arbitrator (and not a court) shall decide all issues of interpretation, scope, and application of this agreement.

In
any arbitration, the arbitrator shall be bound by the terms of this agreement and shall follow the applicable law. The arbitrator shall not have the power to commit manifest errors of law, and any award rendered by the arbitrator that employs a manifest error of law may be vacated or corrected by a court of competent jurisdiction for such error. The arbitrator may only resolve disputes between you and us and may not consolidate claims without the consent of all parties. The arbitrator cannot hear class or representative claims or requests for relief on behalf of others , or issue any award or remedy in arbitration against or on behalf of anyone who is not a named party to the arbitration, as permitted by law. In other words, you and we may bring claims against the other only in your or our individual capacity, and not as a plaintiff or class member in any class or representative action to the maximum extent permitted by law. You and we acknowledge and agree that, to the fullest extent permitted by law, we are each waiving the right to participate as a plaintiff or class member in any purported class action lawsuit, class-wide arbitration, private attorney general action, or any other representative proceeding. If a court or arbitrator decides that any part of this agreement to arbitrate cannot be enforced as to a particular claim for relief or remedy, then that claim or remedy (and only that claim or remedy) must be brought in court and must be stayed pending arbitration of the arbitrable claims and remedies. If a court or arbitrator decides that any part of this agreement cannot be enforced as to a particular request for public injunctive relief, then that request for public injunctive relief (and only that request for public injunctive relief) must be brought in court and must be stayed pending arbitration of the arbitrable remedies. If arbitration is elected by either party, the parties collectively agree that they waive their right to a jury trial.

Notwithstanding
the above, either you or we may file a lawsuit in small claims court for any claims that SECTION 4 otherwise require binding arbitration, if the small claims court has jurisdiction. In addition, either you or we may invoke any AAA Consumer Arbitration Rules that allow you or we to have a small claims court

decide any claims that otherwise require binding arbitration. This agreement evidences a transaction involving interstate commerce and shall be governed by the Federal Arbitration Act, 9 U.S.C. §§ 1-16. Judgment upon any award in arbitration may be entered in any court having jurisdiction.

IF YOU PURCHASED OR LEASED YOUR VEHICLE IN CALIFORNIA, YOUR WARRANTY IS MADE SUBJECT TO THE TERMS OF THIS BINDING ARBITRATION PROVISION. BY USING THE VEHICLE, OR REQUESTING OR ACCEPTING BENEFITS UNDER THIS WARRANTY, INCLUDING HAVING ANY REPAIRS PERFORMED UNDER WARRANTY, YOU AGREE TO BE BOUND BY THESE TERMS. IF YOU DO NOT AGREE WITH THESE TERMS, PLEASE CONTACT US AT [email protected] WITHIN THIRTY (30) DAYS OF YOUR PURCHASE OR LEASE TO OPT-OUT OF THIS ARBITRATION PROVISION.

(Mot., p. 4:11-6:5 (Emphasis in original).)

Plaintiff argues that Hyundai failed to submit admissible evidence of the arbitration clause. Plaintiff argues further that he directly challenges the validity of the purported agreement by specifically attesting that he never signed the agreement and was never personally provided with a copy of the agreement (Declaration of Alberto B. Marvilla Barocio ("Barocio Declaration"), ¶¶ 5-6.) Plaintiff argues that Defendant failed to authenticate or establish any foundation of personal knowledge for this document and therefore the evidence is inadmissible and cannot be used to support this motion.

The Court does not find Plaintiff's argument regarding not being personally provided with a copy of the Owner's Handbook when purchasing the Subject Vehicle persuasive. Plaintiff was admittedly aware that a manufacturer's warranty existed when purchasing the Subject Vehicle, as he declares that "[d]uring pre-lease communications with Carson Hyundai's staff, I asked about the manufacturer's warranty" and each further declares he was "assured [] that the Subject Vehicle was already warranted under Defendant's express warranty." (Barocio Decl., ¶ 4.) And Plaintiff declares that the instant suit was filed in exclusive reliance "on the representation made by Defendant's authorized dealerships, both prior to and during the term of [his] lease . . ." (Id., ¶ 7.) Per Plaintiff's admissions, then, he was aware of the existence of the NVLW and accepted the NVLW. Plaintiff filed suit in reliance upon the NVLW but failed to obtain a copy or read the NVLW and instead chose to rely upon the representations about the NVLW provided by Defendant's dealerships. A basic rule of contract law is that in the absence of fraud, overreaching or excusable neglect, failure to read a contract does not allow a party to avoid the impact of its terms. (See Madden v. Kaiser Found. Hosps. (1976) 17 Cal.3d 699, 710 ("Madden"); see also Roldan v. Callahan & Blaine (2013) 219 Cal. App. 4th 87, 88.) That Plaintiff was admittedly aware of the NVLW but did not obtain a copy of it in order to read it fully before accepting the benefits of its terms and acting upon its terms does not suffice to meet his burden to contest the existence of the contractual arbitration provision.

Plaintiff's citations to caselaw and arguments as to his lack of notice and assent due to the nature of the warranty as generally a one-way agreement and the inclusion of the arbitration agreement inside the warranty do not change the Court's analysis. The arbitration agreement here is contained within Hyundai's Owner's manual and thus appears to fall within the parameters of the case law cited by Plaintiff. (See, e.g., Hernandez v. LG Electronics U.S.A., Inc. (C.D. Cal. 2024 WL 1601260[3] (Cataloguing various Courts' findings that the inclusion of an arbitration agreement within a manual whose cover does not indicate that there are terms and conditions within is insufficient to put a consumer on notice of an arbitration agreement inside).) However, while it may be true that the inclusion of an arbitration agreement within the Owner's Manual alone may not constitute sufficient notice, here the facts are different. As is noted above, Plaintiff was aware of the manufacturer's warranty, spoke with dealership personnel about the warranty and proceeded to file suit on the warranty.
Putting aside the arbitration agreement, Plaintiff is presumed to have read the warranty and to be familiar with its terms. (See Madden, supra, 17 Cal.3d at p. 710 (Failure to read a contract does not allow a party to avoid the impact of its terms).) Those terms that Plaintiff cannot avoid include the arbitration agreement as that agreement is included within the warranty (which Plaintiff is presumed to have read and understood). The Court cannot square and does not find persuasive Plaintiff's apparent argument that he may proceed with his suit pursuant to the terms of the warranty of which he was admittedly aware but is not bound by certain terms contained within the same agreement.

Finally, the Court does not find Plaintiff's argument regarding Hyundai's alleged failure to submit admissible evidence of the arbitration agreement persuasive. Hyundai is required only to state the provisions of the written agreement and the paragraph that provides for arbitration either verbatim or by attaching a copy of the agreement to its motion; it is not necessary to follow the normal procedures of document authentication. (Condee, supra, 88 Cal.App.4th at p. 218; Cal. R. Ct., Rule 3.1330.) Hyundai has met the requirements by stating, verbatim, the terms of the arbitration agreement in its motion.

The Court finds that Plaintiff has not met his burden to contest the existence of the NVLW arbitration agreement.

i. The Scope of the NVLW Arbitration Agreement Covers Plaintiff's Claims

Hyundai has presented sufficient evidence to demonstrate that all of Plaintiff's claims against it fall under the scope of the NVLW arbitration agreement.

On a petition to compel arbitration under the FAA, the petitioner bears the burden to show that the agreement "covers the dispute." (See Brennan v. Opus Bank (9th Cir. 2015) 796 F.3d 1125, 1130.) If the court determines that there is a valid agreement to arbitrate between the parties and the agreement covers the dispute, the court does not have discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; see Dean Witter Reynolds, Inc. v. Byrd (1985) 470 U.S. 213, 218.)

As described above, the scope of the arbitration agreement at issue is very broad and reaches all claims asserted by Plaintiff in the instant action. The NVLW arbitration agreement, in relevant part, as follows: "you and we, Hyundai Motor America, each agree that any claim or disputes between us (including between you and any of our affiliated companies) related to or arising out of your vehicle purchase, advertising for the vehicle, use of your vehicle, the performance of the vehicle, any service relating to the vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty, including without limitation claims related to false or misleading advertising, unfair competition, breach of contract or warranty, the failure to conform a vehicle to warranty, failure to repurchase or replace your vehicle, or claims for a refund or partial refund of your vehicle's purchase price (excluding personal injury claims), but excluding claims brought under the Magnuson-Moss Warranty Act, shall be resolved by binding arbitration at either your or our election, even if the claim is initially filed in a court of law."

(Mot., p. 4:15-23.)

This provision is broad enough to
cover each of Plaintiff’s asserted causes of action, which all concern breach
of warranty or duties contemplated under the warranty. Accordingly, the Court finds that each of
Plaintiff’s claims are within the scope of the NVLW arbitration provision.

2.
Defenses
Against Enforcement

Finally, Plaintiff argues that the arbitration
agreement is not enforceable because it is unconscionable.

“Once … [an existent arbitration
agreement] is presented to the court, the burden shifts to the party opposing
the motion to compel, who may present any challenges to the enforcement of the
agreement and evidence in support of those challenges.” (Baker v. Italian
Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160.)

As stated above, both under
California and Federal law, courts are obligated to treat arbitration
agreements as equally enforceable as any other contractual agreement. (Morgan,
supra, 596 U.S. at p. 419; Quach, supra, 16 Cal.5th at p. 569.)
Accordingly, “under¿both the FAA and California law, ‘arbitration agreements
are valid, irrevocable, and enforceable, save upon such grounds as exist at law
or in equity for the revocation of any contract.’”¿(Higgins v. Superior
Court, supra, 140 Cal.App.4th at p. 1247.)¿Thus, Plaintiff’s argument that
the Arbitration Agreement is unconscionable, though based on California law,
still holds. (See Concepcion, supra, 563 U.S. at p. 339 (Arbitration
agreements may “be invalidated by ‘generally applicable contract defenses, such
as fraud, duress, or unconscionability,’ but not by defenses that apply only to
arbitration or that derive their meaning from the fact that an agreement to
arbitrate is at issue. [Citation.]”).)

Under California law, the party
opposing the agreement must show both substantive and procedural
unconscionability. (Armendariz v. Foundation Health Psychcare Services, Inc.
(2000) 24 Cal.4th 83, 114 (“Armendariz”); Stirlen v. Supercuts, Inc.
(1997) 51 Cal.App.4th 1519, 1533.) “But they need not be present in the same

degree.” (Armendariz, supra, at p. 114.) Procedural and substantive unconscionability are measured on a sliding scale; where a contract is more procedurally unconscionable, less substantive unconscionability is required, and vice versa. (OTO, LLC v. Kho (2019) 8 Cal.5th 111, 125 (“OTO”).)¿“Procedural unconscionability focuses on oppression, surprise and the manner in which the agreement was negotiated. [Citation.]¿Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create such overly harsh or one-sided results as to shock the conscience. [Citation.]” (Suh v. Superior Court (2010) 181 Cal.App.4th 1504, 1515 (“Suh”).)

i.
Procedural
Unconscionability

“Procedural unconscionability focuses on oppression or surprise due to unequal bargaining power.” (Armendariz v. Foundation Health Psychcare Services, Inc.¿(2000) 24 Cal.4th 83, 114, internal quotes omitted.) “Procedural unconscionability addresses the manner in which agreement to the disputed term was sought or obtained, such as unequal bargaining power between the parties and hidden terms included in contracts of adhesion.” (Mission Viejo Emergency Medical Associates v. Beta Healthcare Group¿(2011) 197 Cal.App.4th 1146, 1158.)

“ ‘The procedural element addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power.’ ” (OTO, supra, 8 Cal.5th at p. 125.) The “analysis ‘begins with an inquiry into whether the contract is one of adhesion.’ [Citation.] An adhesive contract is standardized, generally on a preprinted form, and offered by the party with superior bargaining power ‘on a take-it-or-leave-it basis.’ ” (Id., at p. 126.) For an adhesive contract, the court must consider “whether circumstances of the contract’s formation created such oppression or surprise that closer scrutiny of its overall fairness is required.” (Ibid.) “Oppression occurs where a contract involves lack of negotiation and meaningful choice, surprise where the allegedly unconscionable provision is hidden within a prolix printed form.” (Id., at p. 126 (quotations omitted)(emphasis in original).)

“ ‘The

circumstances relevant to establishing oppression include, but are not limited to (1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party's review of the proposed contract was aided by an attorney.' " (OTO, supra, 8 Cal.5th at pp. 126-127.)

"By itself … adhesion establishes only a 'low' degree of procedural unconscionability." (Davis v. Kozak¿(2020) 53 Cal.App.5th 897, 907.)

Plaintiff argues that the arbitration agreement in the Owner's Handbook is a contract of adhesion. Plaintiff argues that "normal consumer behavior" would not include reading the Owner's Handbook after acquiring the vehicle, but rather a consumer is likely to consult the Owner's Handbook only if a problem arises. (Opp., p. 19:13-16.) Plaintiff also argues that he was not advised of the arbitration provision or the 30-day opt-out period and that this supports a finding of surprise and procedural unconscionability. (Opp., p. 19:16-17; Barocio Decl., ¶ 7.)

The Court finds Plaintiff's arguments unpersuasive. Here, the arbitration provision is relatively short, with limited "legalese," and is mostly understandable by a layperson. Plaintiff does not assert or declare that he was given a short amount of time to consider the arbitration provision within the warranty or that there was other pressure to lease the vehicle or otherwise agree to the arbitration provision within the warranty. As discussed above in section II.D.1, Plaintiff was aware of the manufacturer's warranty and Plaintiff is presumed to have read the warranty, thus Plaintiff cannot claim surprise from the arbitration agreement as that agreement is included within the warranty that Plaintiff is presumed to have read and understood. Accordingly, the Court finds a low level of procedural unconscionability.

ii. Substantive Unconscionability

“Substantive unconscionability examines the fairness of a contract’s terms.” (OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 129.) “ ‘[T]he unconscionability doctrine is concerned not with “a simple old-fashioned bad bargain” [citation], but with terms that are “unreasonably favorable to the more powerful party.” ’ ” (Id., at p. 130.) “In assessing substantive unconscionability, the paramount consideration is mutuality.” (Pinela v. Neiman Marcus Group, Inc.¿(2015) 238 Cal.App.4th 227, 241, internal quotes and citations omitted.)

Here, Plaintiff does not discuss the substantive unconscionability of the NVLW and only argues the substantive unconscionability of the CSA. For an arbitration agreement to be unenforceable as unconscionable, both procedural and substantive unconscionability must be present. (Armendariz, supra, 24 Cal.4th at 114.) Because Plaintiff does not argue any substantive unconscionability as to the NVLW, Plaintiff has not demonstrated substantive unconscionability of the NVLW and the Court does not find substantive unconscionability.

In all, the Court does not find the arbitration agreement contained in the NVLW so procedurally and substantively unconscionable as to warrant a denial of Hyundai’s motion to compel arbitration.

III. CONCLUSION

Hyundai’s Motion to Compel Arbitration is GRANTED.

This matter is ordered stayed pending completion of arbitration.

A post-arbitration status conference is set for July 1, 2027 at 8:30 a.m. in Dept. E.

[1] The exhibit referenced is attached to the Declaration of Ali Ameripour filed in support of Hyundai’s Motion.

[2] The Court notes that Plaintiff's evidentiary objections are not signed by counsel. However Hyundai makes no objection to the fact that Plaintiff submits unsigned objections, so the Court rules upon Plaintiff's objections.

[3] Hernandez, like much of Plaintiff's cited authority, is a federal court case and thus only persuasive authority. Furthermore, Hernandez is not reported outside of a Westlaw citation, lending further caution to its use even as persuasive authority.